INTERNATIONAL MONETARY FUND

CHAD

STAFF REPORT FOR THE 2013 ARTICLE IV CONSULTATION AND ASSESSMENT OF PERFORMANCE UNDER THE STAFF-MONITORED PROGRAM—DEBT SUSTAINABILITYANALYSIS

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Chad's public domestic and external debt indicators have remained relatively stable in the last few years. However, the risk of debt distress remains high taking into account the decision to cancel the non-concessional Master Facility Agreement (MFA) signed with the Eximbank of China in August 2011 and the contracting of a non-concessional US$600 million oil sales' advance operation to cover oil revenue shortfalls in 2013. The projected steady decline in oil exports and associated fiscal revenues (barring new discoveries) is a critical challenge over the medium-term requiring a steady fiscal adjustment and economic diversification.

BACKGROUND

Recent Developments in Public External Debt

1. Chad's external public debt has hovered around 20 percent of GDP since the start of oil production in 2003/04. Debt owed to multilateral institutions and traditional bilateral donors has been basically constant in nominal terms over that period. Chad has instead relied more on non-traditional creditors (i.e., Libya, China) and commercial credits to address its financing needs, including to tackle its infrastructure deficit.

2. The Chadian authorities have taken steps to tackle the debt sustainability concerns raised by the 2012 Article IV DSA. In December 2013, the authorities formally communicated to Eximbank China their decision to cancel the US$2 billion (14.9 percent of 2013 GDP) Master Facility Agreement (MFA) signed in August 2011 noting that the MFA is not legally in force in Chad as it was never formally approved by the National Assembly and that no disbursement took place under the MFA.

3. The external public debt-to-GDP ratio is estimated to have risen from 20.9 percent of GDP in 2012 to 24.1 percent of GDP in 2013 mainly on account of external commercial borrowing in the form of oil sales' advances. The authorities signed two agreements in May and August of 2013 for a total of US$600 million (4.5 percent of GDP) with a commercial partner (Glencore Energy). These two non-concessional loans carry an annual interest rate of 6.9 percent, on top of an upfront commitment fee of 2.75 percent, and have to be reimbursed over a two-year period (against crude oil shipments).[1]

[1] The DSA simulation assumes that the US$600 million loan is amortized over two years starting only in 2014.

Table 1. Chad: External Debt Stock at Year-End, 2001–2012
(Billions of CFA francs)

	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011 Est.	2012 Est.
Total	794.3	786.3	736.6	797.2	898.9	896.2	794.0	782.3	781.8	1,066.8	1,317.1	1,326.7
(Percent of GDP)	...	...	...	...	...	23.1	19.2	16.9	17.9	20.2	23.0	20.2
Multilateral	678.1	687.7	652.5	715.3	810.2	805.5	718.6	706.6	677.7	757.7	742.2	724.3
IMF	65.3	67.3	57.0	47.7	47.5	37.4	25.4	19.0	12.9	8.3	5.2	2.4
World Bank/IDA	380.6	398.3	394.0	444.5	507.8	486.1	453.4	422.0	402.7	439.5	422.3	415.3
African Development Fund/Bank	182.8	169.8	159.9	168.5	179.8	205.8	173.7	182.4	185.5	208.7	210.2	200.9
EIB	3.9	7.9	7.3	13.0	13.0	12.4	9.9	9.8	8.7	9.4	10.0	6.8
Others	45.5	44.4	34.2	41.6	62.0	63.8	56.2	73.4	67.9	91.8	94.4	99.0
Bilateral	116.2	98.6	84.1	81.9	88.8	90.7	75.4	75.7	104.1	309.1	270.6	298.4
Paris Club official debt	30.2	25.8	24.0	25.2	24.3	23.2	23.6	19.2	16.6	32.0	16.1	13.0
Non-Paris Club official debt	86.1	72.7	60.1	56.7	64.4	67.5	51.8	56.5	87.5	277.2	254.5	285.4
of which: China, People's Republic	28.6	25.4	22.0	13.6	15.4	13.9	-	3.5	20.4	125.1	43.8	12.9
Libya	-	-	-	-	-	-	-	-	-	96.2	144.2	164.9
India	-	-	-	-	-	11.3	14.8	22.7	21.4	22.9	22.3	21.0
State-Guaranteed											304.4	304.0

Sources: World Bank, Chadian authorities, selected creditors and staff estimates.

The concept of debt used here includes both contracted and guaranteed debt. The end-2011 external public debt stocks are estimated by staff based on World Bank Debt Reporting System (DRS) end-2010 debt stock, Chad's debt management office's estimates of 2011 disbursements and amortization, and Ministry of Economy and Planning estimates of 2011 project loan disbursements. The official external debt stock data underestimate the actual level of external debt. Most notably, the debt registry does not capture the loans from China for the state's stakes in the joint-venture refinery and in the Baoré cement factory, and other government-guaranteed debt. Also, project loan disbursements are recognized only after a long lag. Both text tables have discrepancies with corresponding fiscal or balance of payments flow estimates, giving rise to residuals in the sustainability analyses.

Status of Implementation of Debt Relief Initiatives

4. The authorities are seeking to achieve debt relief under the HIPC Initiative. Chad reached the HIPC decision point in 2001, but several previous efforts to attain the completion point failed due to political instability, insufficient commitment to reforms, and weak implementation capacity, including insufficient fiscal controls. In May 2013, the authorities approved a new Poverty Reduction Strategy (PRS) covering the period 2013-15 (a joint IDA-IMF Staff Advisory Note was issued to the Executive Board in July 2013 (EBD/13/50)). In July 2013, an SMP for the period April-December 2013 was approved by Fund management, with mixed policy performance so far.[2] The World Bank and IMF have been closely working with the authorities on assessing compliance with the HIPC floating completion point conditions.

[2] The SMP aims at sustaining the recent improvements in macroeconomic outcomes, while advancing public financial management reforms and implementing Chad's new PRS. Most quantitative targets for end-June and end-September 2013 were met. However, the oil sales advance operation implied that the ceilings on contracting or

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5. Realizing debt relief under the Enhanced HIPC Initiative and the Multilateral Debt Relief Initiative (MDRI) would help reduce external debt up to a half (in nominal terms). Debt relief under the MDRI would cover the full stock of MDRI-eligible debt owed to IDA and the African Development Fund that is outstanding at the date that the Completion Point is reached. In nominal terms, this could total about US$850 million and would imply a reduction in debt service of about US$40 million per year over the next 20 years.[3] A detailed debt reconciliation exercise based on most recent debt data will need to be conducted to firm up these estimates and include potential debt relief from other creditors before reaching the HIPC completion point.

Recent Developments in Public Domestic Debt

6. The stock of public domestic debt has grown, reaching 7.3 percent of GDP at end-2012 (and an estimated 6.9 percent of GDP in 2013). This growth was the result of drawing on central bank statutory advances, the sale of over CFAF 100 billion of five-year savings bonds (in 2011), and a CFAF 50 billion loan from Republic of Congo (in 2012). The stock of public domestic debt includes a balance of CFAF 50.3 billion in treasury arrears. In 2013, the authorities placed a five year savings bonds for CFAF 90.2 billion in the CEMAC regional market with a 6 percent coupon and contracted a CFAF 15 billion loan from Equatorial Guinea. Treasury arrears have declined to CFAF 42.1 billion at end-October 2013 from CFAF 50.3 billion at end-December 2012.

Table 2. Chad: Stock of Domestic Debt at Year-End, 2006-2012

	2006	2007	2008	2009	2010	2011	2012
Total	122.3	123.1	142.7	238.6	286.9	464.1	483.6
(Percent of GDP)	3.2	3.0	3.1	5.5	5.4	8.1	7.3
Central Bank statutory advances	-	17.0	21.6	141.6	208.6	208.6	187.7
Rescheduled debts	71.8	48.6	56.8	58.2	67.9	52.9	44.8
Treasury arrears	24.8	26.1	41.1	25.7	3.1	56.4	50.3
Legal commitments	13.2	12.5	10.8	10.1	4.6	21.2	49.8
Standing payment orders	11.5	18.1	11.5	2.1	1.8	3.1	
National Savings Bond	0.9	0.9	0.9	0.9	0.9	0.9	0.9
2011 Savings Bond	-	-	-	-	-	121.0	100.0
Republic of Congo	-	-	-	-	-	-	50.0

Source: Chadian authorities.

guaranteeing new non-concessional external debt and on new guaranteed (i.e., collateralized) external debt by the government and/or non-financial public enterprises were surpassed.

[3] Chad reached the decision point under the HIPC Initiative in May 2001. At that time, the amount of HIPC assistance from the IMF was estimated at SDR 14.3 million in end-2000 PV terms. Debt relief provided by the IMF during the interim period amounted to SDR 8.55 million (60 percent of total debt relief under the HIPC Initiative). Any remaining HIPC relief from the Fund will be provided when Chad reaches the completion point, and currently is estimated at SDR 8.5 million, including SDR 2.8 million—the interest earned on the committed amount in the PRG-HIPC Trust, and SDR 0.01 million—the interest earned on the Chad's HIPC Umbrella Account. This amount may be revised at completion point based on possible revision of the Common Reduction Factor (CRF) in case the decision point (HIPC-eligible) debt stock and the corresponding macroeconomic framework are revised. Chad has no MDRI-eligible debt to the Fund and, therefore, no resource is required from the MDRI-I Trust.

Debt Burden Thresholds under the Debt Sustainability Framework

7. For the purpose of defining debt burden thresholds under the Debt Sustainability Framework (DSF), Chad is classified as a weak policy performer. Chad's rating on the World Bank's Country Policy and Institutional Assessment (CPIA) is 2.5 for CY2012 (on a scale from 1 to 6).

Table 3. External Public Debt Burden Thresholds for "Weak Policy Performers" Under the Debt Sustainability Framework

Present value of external debt in percent of:	
GDP	30
Exports	100
Revenue	200
External debt service in percent of:	
Exports	15
Revenue	18

Source: 2011 IDA Country Performance ratings (methodology and results).

DSA ASSUMPTIONS

8. The assumptions underpinning the DSA have been revised from last year to reflect the newly adopted policy of a uniform discount rate of 5 percent, the cancellation of the US$2 billion non concessional MFA, and the contracting of the nonconcessional US$600 million oil sales' advance operation . The current macroeconomic projections for Chad show a financing gap for 2014 of CFAF 260 billion. At the time of preparation of this report, there was uncertainty as to how the financing gap was to be closed. Given limited concessional financing options and the authorities' strong interest in reaching the HIPC completion point, a sizable fraction of the financing gap would be covered through fiscal adjustment, but no determination had been made regarding its extent and nature. In that context, and for illustrative purposes, the DSA assumes that the 2014 financing gap is financed by external concessional and domestic borrowing, [in equal proportions]. While the availability of large amounts of concessional and domestic financing is questionable, this scenario places a more realistic ceiling to Chad's debt dynamics over the medium- and long-terms. In the face of it, greater reliance on fiscal adjustment would reduce risks of external debt distress, while reliance on external nonconcessional borrowing would increase them.

9. Oil production and revenue: Chad's medium- and long-term macroeconomic outlook is characterized by a temporary sharp increase in oil production in 2014–16 and a steady decline of oil production over the subsequent sixteen-year projection period (Box 1).[4]

[4] Oil production at the Doba oilfield (exploited by the Esso-led consortium) started in 2003, reached its peak of 63 million barrels in 2005 and, absent other oil developments, will decline with annual output projected to become negligible beyond 2030. In 2011, oil production began at a second oil field, Bongor, operated by CNPC (about one-third the size of the Doba field). At present, Bongor produces crude oil at a rate of about 15,000 barrels

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- Oil production is expected to rise from 113,000 bpd in 2012 to about 173,000 bpd in 2015-16. This second oil boom will likely be temporary; proven reserves in the new fields are much smaller than that in the original Doba basin and will also likely be nearly exhausted around 2030. Hence, oil production and exports are projected to decline steadily to negligible levels beyond 2030. Obviously, these prospects might change with new oil exploration activities.

- Chad's oil trades below the WEO reference price, reflecting a quality discount and transport[5] cost. For the medium term (five-year horizon) the price of Chadian oil is assumed to drop from US$102.8 per barrel (all discounts included) in 2013 to about US$83.6 per barrel in 2017–18, in line with the trend projected in the IMF's World Economic Outlook (WEO). From 2019 onward, the price is assumed to increase 3 percent per year in U.S. dollar terms (consistent with the assumption used by the IMF in long-term projections for other sub-Saharan African countries).

10. Fiscal policy: The analysis assumes a sustained fiscal adjustment throughout the entire projection in transition to the post-oil era, with the non-oil primary deficit (NOPD) reduced from about 16 percent of non-oil GDP in 2014 to 12 percent of non-oil GDP by 2018. The increase in oil production over the medium-term is expected to help maintain oil revenues above 15 percent of non-oil GDP until 2016. Over the longer term, it is assumed that dwindling oil revenues will be partly offset by a decline of total government primary spending from 30.4 percent of non-oil GDP in 2013 to 21.6 percent in 2033, while the primary balance will be adjusted gradually to reach a small deficit of 0.3 percent of non-oil GDP by 2033. The latter is projected to be achieved mainly by: (i) increasing non-oil revenues (from about 8.5 percent of non-oil GDP at present to about 17 percent of non-oil GDP by 2033); (ii) reducing total investment outlays from over 14 percent of non-oil GDP to below 10 percent of non-oil GDP; and (iii) cutting recurrent spending, notably, by streamlining exceptional security transfers and subsidies to public enterprises (at present, jointly accounting for about 6.5 percent of non-oil GDP).

11. The DSA analysis is conducted over a baseline (current policies) scenario that reflects the stated intentions of the authorities to pursue fiscal consolidation, while protecting priority spending and investing adequately in physical infrastructure to prepare the country for the post-oil era. While the baseline scenario is consistent with the medium-term fiscal framework presented in the staff report for the Article IV 2013 consultation, it assumes that the projected financing gap for 2014 is financed through external concessional and domestic loans. In 2013, however, owing to the Glencore operation, 81 percent of new foreign borrowings are contracted on commercial terms. Commercial borrowing is assumed to fall

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per day as feedstock for the oil refinery, resulting in a near complete substitution of petroleum product imports. Exports of crude oil from Bongor are expected to start in 2014 and reach 65,000 bpd in 2015. Oil from another smaller operator (Caracal, formerly Griffiths) started to be produced in late 2013 and are expected to peak at 40,000 bpd in 2015.

[5] The discount was fairly constant (about US$6.50) until recently when it dropped to about US$2.50 due to the disruption of oil exports from South Sudan, which increased the demand for (a very similar) Chadian oil. This discount is expected to rebound over the near term to its normal level.

to 0 percent of new external borrowing from 2014 onward and the financing plan assumes the following composition for gross borrowing: 52 percent multilateral, 48 percent bilateral. Hence, the grant element is assumed to improve rapidly in 2014-15 and average 34-35 percent over the medium and long run.

Box 1. Macroeconomic Assumptions, 2013–2033

Baseline Scenario:

Real GDP growth is driven by a sharp growth of oil production in the next three years and a steady decline in oil production over the following seventeen years. A moderate scaling-up of foreign-financed investments (see below) is assumed to raise non-oil GDP growth in the medium term (5.5 percent in 2014–18). Beyond that, non-oil GDP growth is assumed to stabilize at 4.6 percent in the long term. Inflation is assumed to stabilize at 3 percent, consistent with the CEMAC convergence criterion. The external current account will remain in deficit throughout the forecasting period although it will shrink slightly in 2014–16, with the increase in oil exports and the drop in imports as the development of the new oil fields and the oil refinery allows for the substitution of oil product imports. With the decline in oil exports in the long-term, the external current account is projected to turn into a higher deficit.

The fiscal outlook features a temporary increase in oil revenues in the medium term but a decline in the long term. The authorities are assumed to reduce the NOPD to 12 percent of non-oil GDP by 2018. In the medium and long term, the authorities adjust by increasing non-oil revenue effort, streamlining exceptional security spending and subsidies to public enterprises, while maintaining an appropriately high level of investment and social spending to ensure steady growth and poverty reduction.

External financing: Project loans are assumed to pick up from 1.4 percent of non-oil GDP in 2013 to 2.5 percent of non-oil GDP over 2015-19 and then fall to 2.1 percent of non-oil GDP in the long term. Project grants will increase from 2.4 percent of non-oil GDP in 2013 to 2.6 percent of non-oil GDP over the entire forecasting period. This is assumed based on historical averages, with 60 percent grants and 40 percent in loans from official multilateral and bilateral creditors. The baseline does not take into account HIPC and MDRI debt relief for which Chad is eligible.

The domestic financing assumptions include reimbursement of BEAC statutory advances by 2015, no accrual of domestic arrears, and limited issuance of domestic debt instruments from 2015 onward..

Text Table. Chad: Medium-Term Projections

	2013	2014	2015	2016	2017	2018	2013–18 Avg.	2019–33 Avg.
Real GDP growth (percent per year)	3.6	10.8	7.3	4.7	3.6	3.3	5.6	3.6
Oil	-4.0	37.0	17.6	3.2	-3.1	-5.3	7.6	-6.6
Non-oil	5.0	6.5	5.1	5.1	5.1	5.2	5.3	4.6
Consumer price inflation (percent per year)	0.4	3.8	3.0	3.0	3.0	3.0	2.7	3.0
External current account balance (percent of GDP)	-8.8	-6.5	-6.8	-5.9	-6.5	-6.1	-6.8	-4.9
				(In percent of non-oil GDP)				
Government revenue and grants	25.6	28.7	30.4	28.3	26.6	24.5	27.4	21.1
Of which : oil revenue	14.6	17.2	18.7	16.1	14.0	11.5	15.3	4.7
Of which : grants	2.5	2.7	2.6	2.6	2.6	2.6	2.6	2.6
Government expenditure (commitment basis)	31.5	29.6	29.9	29.2	28.0	27.9	29.4	23.3
Overall fiscal balance (incl. grants; cash basis)	-6.0	-2.0	0.6	-0.8	-1.4	-3.3	-2.1	-1.8
Non-oil primary fiscal bal. (excl. grants; commitment basis)	-18.2	-16.1	-15.1	-14.0	-12.5	-12.0	-14.6	-4.2
Standard non-oil primary fiscal bal. (commitment basis)	-19.5	-17.0	-17.6	-16.5	-15.0	-14.5	-16.7	-6.3
Memorandum items:								
Government deposits (in percent of non-oil GDP)	5.9	5.4	5.2	5.7	5.8	4.8	5.5	7.5
Chadian crude oil price (US$/barrel)	103.4	98.2	93.5	87.8	84.9	82.3	91.7	96.4

Sources: Chadian authorities; and IMF staff estimates and projections.

EXTERNAL DEBT DSA

Baseline (Current Policies) Scenario

12. The evolution of external debt is driven by a reasonable volume of project and budget support loans from both traditional and non-traditional donors. There is no external private debt in Chad. Starting in 2014, new borrowing is projected to be mainly on concessional terms from Paris Club official (20 percent) and non-Paris Club official (28 percent) sources as well as multilateral (52 percent) sources. Hence, the average concessionality of new borrowing (assuming a discount rate of 5 percent) would increase towards 34-35 percent and stay so through the projection period (Figure 1a).

13. The comparison of the current baseline scenario with the baseline featured in the 2012 DSA reveals some differences reflecting a significant change in Chad's borrowing policy (Figures 5–7). This change is mainly explained by the cancellation of the MFA.

14. Under the baseline scenario, all but one external indebtedness indicators remain below their critical thresholds, indicating a high risk of external debt distress. The present value of external public and publicly-guaranteed debt falls below 15 percent of GDP starting in 2015 and remains well below the 30 percent of GDP threshold throughout the end of the projection horizon (Figure 1). With the projected steady decline in oil exports beyond the 2013–16 horizon, the PV of debt is expected to rise relative to exports, and projected to exceed the critical threshold starting around 2020. The PV of debt relative to both revenue and GDP would remain below thresholds through the end of the projection period. This is also the case for debt service in percent of revenues and exports.[6]

Stress Tests

15. Under the shock scenario that assumes that key macroeconomic variables remain at their ten-year average values, the debt burden indicators do not breach the sustainability thresholds. However, Chad's external debt burden indicators are highly sensitive to a negative shock to exports (e.g., an oil price shock). Across all indicative debt burden thresholds, the most extreme shock is a drop in export growth in 2014–15 (i.e., proportional to a two-standard-deviation lower oil price): debt would be on a path breaching all indicative debt burden thresholds. This underscores the need for greater diversification of the economy.

[6] Under an alternative scenario where the authorities continue to rely partially (for about 45 percent of total gross external borrowings) on non-concessional loans, all but two external debt indicators breach their respective sustainability thresholds. The debt service-to-revenue ratio exceeds the critical threshold starting in 2015 and remains above the threshold until the late 2020s. Both the PV of debt-to-exports and the debt service-to-exports ratios exceed the critical thresholds starting around 2018-20 and remain above thresholds through the end of the projection period. The PV of debt relative to both revenue and GDP would remain below thresholds through the end of the projection period.

PUBLIC DEBT DSA

16. The inclusion of domestic debt in the analysis does not fundamentally alter the assessment of Chad's debt sustainability. Given the moderate size of Chad's domestic debt, the baseline adjustment in the non-oil primary balance, and expected oil revenues, the public debt indicators are driven mainly by the external debt component. The domestic debt component would fall from 7.3 percent of GDP in 2012 to 2.4 percent of GDP in 2018 but will continuously rise thereafter until it reaches about 6.7 percent of GDP 2033. Altogether, the public debt stock decreases to about 25 percent of GDP in 2017 before rising continuously until it stabilizes around 33 percent of GDP in 2031-33.

17. Despite this relatively low debt stock, standard stress tests indicate significant sustainability risks. In particular, reflecting the narrow base of an economy highly dependent on volatile oil and agriculture sectors, a temporary shock to real GDP growth in 2014-2015 would substantially impair public debt sustainability (Most Extreme Shock in Figure 2 and Bound Test B1 in Table 2a).

THE AUTHORITIES' VIEWS

18. The authorities believe that improved oil revenue prospects and debt relief through the HIPC process would substantially dampen debt sustainability concerns. The authorities acknowledged potential concerns on debt sustainability and highlighted the recent decision to cancel the MFA with Eximbank China as a signal of the importance that they attach to this issue and to the need for concessional long-term financing. Regarding the latter, they noted that the recent lending operation with Glencore Energy was an extraordinary measure in response to a temporary shock that was aimed at ensuring that the existing budgetary envelope could be fully financed and did not result in an expansion in budgetary spending. They consider that staff oil revenue projections are overly conservative, stressing existing oil exploration activities and the potential opening of new exploration rounds after a soon to be conducted geological mapping exercise. Finally, they emphasized the need for debt relief to create fiscal space for additional development spending (including foreign-financed). They finally expect that ongoing reform progress will be reflected in an improvement of the CPIA score and a related increase in external debt burden thresholds.

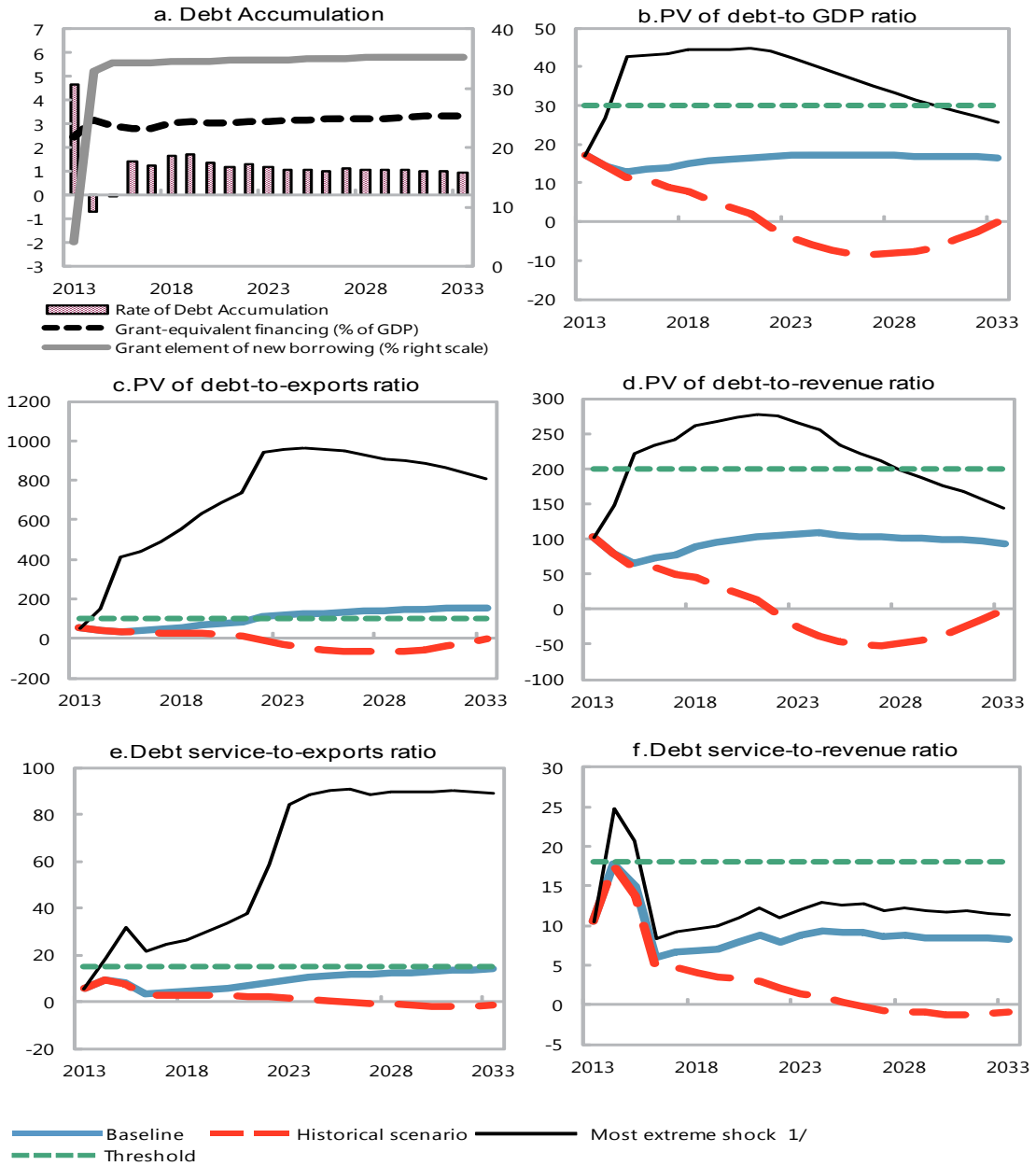
DEBT DISTRESS CLASSIFICATION AND CONCLUSIONS

19. In staff's assessment, despite improved oil production and revenue prospects in the next few years, Chad faces a high risk of debt distress. This is due to the significant decline in oil exports and revenues over the medium to the long terms. While the government's decision to cancel the US$2 billion non concessional MFA with the Eximbank of China would significantly improve the debt distress rating compared to the 2012 Article IV DSA, Chad would remain at a high risk of debt distress despite a sustained fiscal adjustment unless it adopts a prudent external borrowing policy. Sustained fiscal adjustment is a necessary but not sufficient condition for minimizing the risk of debt distress. Given the exhaustibility and volatility of oil revenues, fiscal adjustment needs to be complemented by a prudent external borrowing policy and further progress in diversifying the economy.

20. Progress toward the HIPC completion point (including improvements in the CPIA score) would substantially reduce Chad's debt vulnerabilities. In addition to continued pursuit of fiscal consolidation and a prudent external borrowing policy, institutional and governance reforms should pave the way for debt relief under the HIPC process and increased access to concessional borrowing sources, thereby reducing the country's debt vulnerabilities.

Baseline Scenario

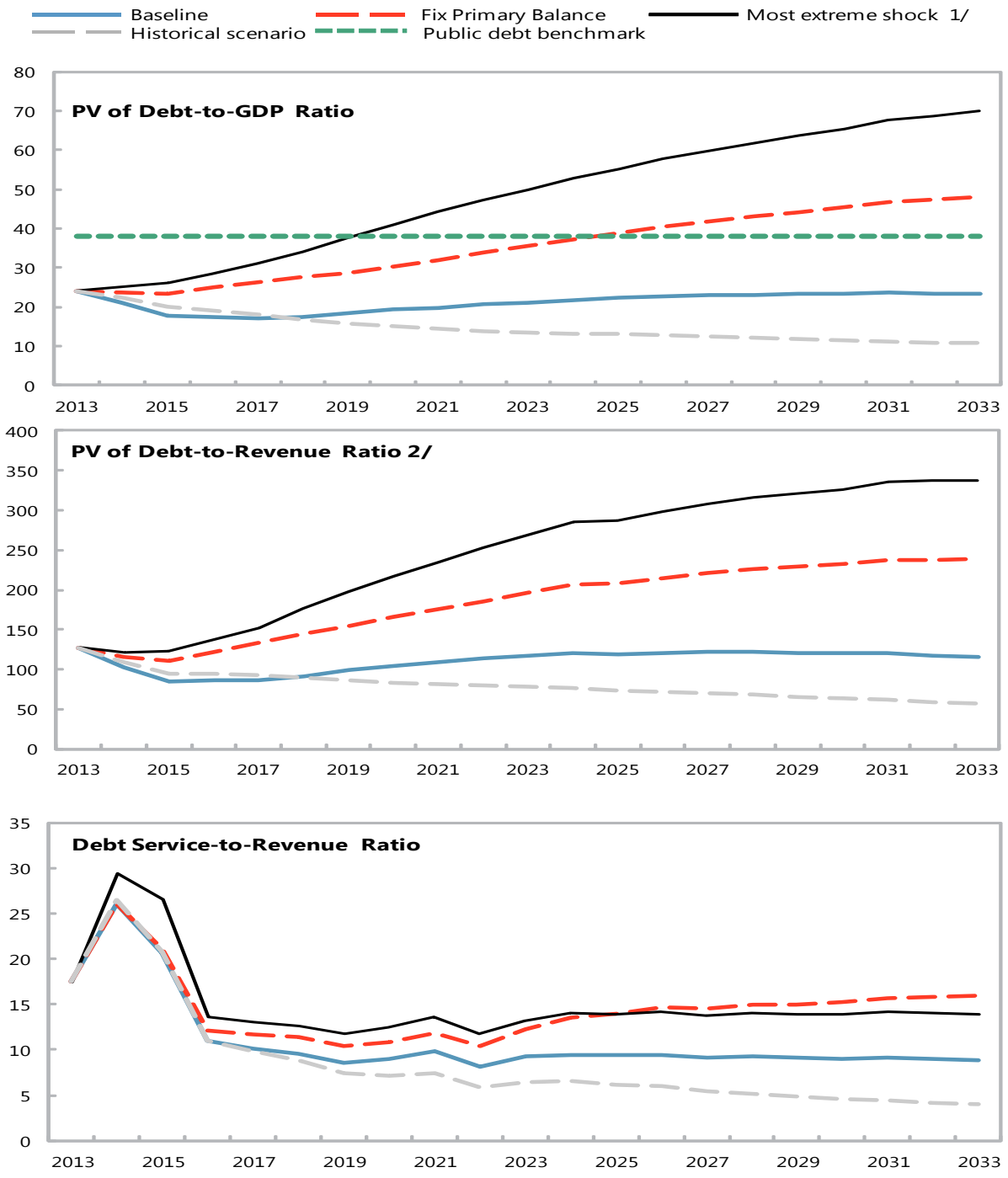
Figure 1. Chad: Indicators of Public and Publicly Guaranteed External Debt under Alternatives Scenarios, 2013-2033 1/



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2023. In figure b. it corresponds to a Exports shock; in c. to a Exports shock; in d. to a Exports shock; in e. to a Exports shock and in figure f. to a One-time depreciation shock

Figure 2. Chad: Indicators of Public Debt Under Alternative Scenarios, 2013-2033 1/



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2023.
2/ Revenues are defined inclusive of grants.

Baseline Scenario

Table 1a. Chad: Public Sector Debt Sustainability Framework, Baseline Scenario, 2010-2033

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate	Projections								
	2010	2011	2012	Average 5/	Standard Deviation 5/	2013	2014	2015	2016	2017	2018	2013-18 Average	2023	2033	2019-33 Average
Public sector debt 1/	25.6	31.1	28.0			31.1	27.6	24.6	24.6	24.7	25.6		30.3	32.4	
of which: foreign-currency denominated	20.2	23.0	20.9			24.1	20.9	19.7	20.7	21.6	23.2		26.2	25.7	
Change in public sector debt	2.6	5.5	-3.2			3.1	-3.4	-3.0	0.0	0.1	1.0		0.6	-0.3	
Identified debt-creating flows	1.5	-4.4	-4.4			2.4	-4.3	-3.1	-0.5	0.0	1.8		-0.1	-0.9	
Primary deficit	4.0	-2.8	-1.5	0.7	4.2	3.0	-0.6	-1.0	0.1	0.5	2.1	0.7	0.9	0.5	1.1
Revenue and grants	20.2	24.8	23.4			19.0	20.4	21.1	20.3	19.9	19.0		18.1	20.2	
of which: grants	1.3	1.6	2.5			2.3	2.2	1.8	1.8	1.9	2.0		2.2	2.5	
Primary (noninterest) expenditure	24.3	22.0	22.0			22.0	19.7	20.0	20.3	20.4	21.1		19.0	20.7	
Automatic debt dynamics	-2.3	-1.6	-2.9			-0.2	-3.4	-2.0	-0.6	-0.5	-0.3		-1.0	-1.4	
Contribution from interest rate/growth differential	-4.5	-0.7	-4.6			1.4	-2.3	-1.4	0.1	0.2	0.3		-1.0	-1.4	
of which: contribution from average real interest rate	-1.8	-0.7	-2.0			2.4	0.7	0.5	1.2	1.0	1.1		0.0	0.0	
of which: contribution from real GDP growth	-2.8	0.0	-2.5			-1.0	-3.0	-1.9	-1.1	-0.9	-0.8		-1.0	-1.3	
Contribution from real exchange rate depreciation	2.2	-0.9	1.7			-1.6	-1.0	-0.7	-0.7	-0.7	-0.6		...	...	
Other identified debt-creating flows	-0.2	0.0	0.0			-0.4	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	-0.2	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			-0.4	-0.4	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	1.1	9.8	1.3			0.7	0.9	0.1	0.5	0.1	-0.8		0.7	0.6	
Other Sustainability Indicators															
PV of public sector debt	...	...	20.5			24.1	20.9	17.7	17.3	17.1	17.5		21.1	23.2	
of which: foreign-currency denominated	...	...	13.5			17.1	14.2	12.7	13.4	14.0	15.0		17.1	16.6	
of which: external	...	...	13.5			17.1	14.2	12.7	13.4	14.0	15.0		17.1	16.6	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	4.6	-1.9	0.9			6.3	4.7	3.3	2.3	2.5	3.9		2.5	2.3	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	87.5			126.9	102.7	84.1	85.4	85.8	91.8		116.9	115.0	
PV of public sector debt-to-revenue ratio (in percent)	...	...	98.1			144.0	115.4	91.8	93.9	94.9	102.5		133.2	130.9	
of which: external 3/	...	...	64.5			102.5	78.1	66.0	72.8	77.8	88.2		107.4	93.3	
Debt service-to-revenue and grants ratio (in percent) 4/	2.9	3.6	10.2			17.5	26.1	20.7	11.0	10.2	9.6		9.2	8.9	
Debt service-to-revenue ratio (in percent) 4/	3.1	3.9	11.4			19.9	29.3	22.6	12.1	11.3	10.7		10.5	10.1	
Primary deficit that stabilizes the debt-to-GDP ratio	1.4	-8.3	1.7			-0.1	2.8	1.9	0.1	0.4	1.1		0.3	0.7	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	13.5	0.1	8.9	9.0	10.0	3.6	10.8	7.3	4.7	3.6	3.3	5.6	3.3	4.2	3.6
Average nominal interest rate on forex debt (in percent)	1.0	2.2	3.3	1.4	0.8	2.9	2.2	2.0	2.0	2.0	2.1	2.2	1.9	1.9	1.9
Average real interest rate on domestic debt (in percent)	...	...	-0.7	-0.7	...	7.8	3.1	2.8	5.8	4.7	4.9	4.9	3.3	2.7	3.1
Real exchange rate depreciation (in percent, + indicates depreciation)	15.9	-4.4	8.7	-4.4	14.7	-7.3	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	6.4	8.6	5.4	6.6	8.3	-2.9	3.5	1.9	-1.2	-0.4	-0.8	0.0	2.4	2.7	2.5
Growth of real primary spending (deflated by GDP deflator, in percent)	0.1	-0.1	0.1	0.1	0.2	0.0	0.0	0.1	0.1	0.0	0.1	0.0	0.0	0.0	0.0
Grant element of new external borrowing (in percent)	...	...	...	...	...	4.0	32.9	34.3	34.3	34.4	34.5	29.1	34.8	35.3	...

Sources: Country authorities; and staff estimates and projections.

1/ Central government gross debt, including guaranteed external debt.

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Baseline Scenario

Table 2a.Chad: Sensitivity Analysis for Key Indicators of Public Debt 2013-2033

	Projections							
	2013	2014	2015	2016	2017	2018	2023	2033
PV of Debt-to-GDP Ratio								
Baseline	24	21	18	17	17	17	21	23
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	24	22	20	19	18	17	14	11
A2. Primary balance is unchanged from 2013	24	24	23	25	26	27	36	48
A3. Permanently lower GDP growth 1/	24	22	19	20	21	24	42	98
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2014-20	24	25	26	29	31	34	50	70
B2. Primary balance is at historical average minus one standard deviations in 2014-201	24	25	26	25	25	25	29	28
B3. Combination of B1-B2 using one half standard deviation shocks	24	25	25	26	27	28	37	47
B4. One-time 30 percent real depreciation in 2014	24	27	23	22	21	21	23	24
B5. 10 percent of GDP increase in other debt-creating flows in 2014	24	28	25	24	24	24	27	28
PV of Debt-to-Revenue Ratio 2/								
Baseline	127	103	84	85	86	92	117	115
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	127	109	94	95	92	89	79	57
A2. Primary balance is unchanged from 2013	127	116	110	123	133	145	197	238
A3. Permanently lower GDP growth 1/	127	106	91	99	107	123	223	456
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2014-20	127	121	122	138	153	176	269	337
B2. Primary balance is at historical average minus one standard deviations in 2014-201	127	123	123	125	126	134	158	140
B3. Combination of B1-B2 using one half standard deviation shocks	127	121	117	126	133	148	205	230
B4. One-time 30 percent real depreciation in 2014	127	133	108	107	106	111	129	120
B5. 10 percent of GDP increase in other debt-creating flows in 2014	127	139	117	119	120	127	151	136
Debt Service-to-Revenue Ratio 2/								
Baseline	18	26	21	11	10	10	9	9
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	18	26	21	11	10	9	6	4
A2. Primary balance is unchanged from 2013	18	26	21	12	12	11	12	16
A3. Permanently lower GDP growth 1/	18	27	22	12	11	11	14	26
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2014-20	18	29	25	14	14	13	15	22
B2. Primary balance is at historical average minus one standard deviations in 2014-201	18	26	21	13	12	11	12	11
B3. Combination of B1-B2 using one half standard deviation shocks	18	28	23	13	12	12	13	16
B4. One-time 30 percent real depreciation in 2014	18	29	27	14	13	13	13	14
B5. 10 percent of GDP increase in other debt-creating flows in 2014	18	26	22	13	11	11	12	11

Sources: Country authorities; and staff estimates and projections.
1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of the length of the projection period.
2/ Revenues are defined inclusive of grants.

Baseline Scenario

Table 3a. Chad: External Debt Sustainability Framework, Baseline Scenario, 2010-2033 1/
(In percent of GDP, unless otherwise indicated)

	Actual			Historical 6/ Average	Standard 6/ Deviation	Projections									
	2010	2011	2012			2013	2014	2015	2016	2017	2018	2013-2018 Average	2023	2033	2019-2033 Average
External debt (nominal) 1/	**20.2**	**23.0**	**20.9**			**24.1**	**20.9**	**19.7**	**20.7**	**21.6**	**23.2**		**26.2**	**25.7**	
of which: public and publicly guaranteed (PPG)	20.2	23.0	20.9			24.1	20.9	19.7	20.7	21.6	23.2		26.2	25.7	
Change in external debt	2.6	2.8	-2.1			3.2	-3.3	-1.2	1.1	0.9	1.6		0.3	-0.3	
Identified net debt-creating flows	3.7	0.8	4.4			4.0	-0.7	0.9	0.7	3.0	2.7		5.8	-0.7	
Non-interest current account deficit	**8.8**	**5.2**	**7.7**	**7.0**	**14.7**	**8.2**	**6.0**	**6.5**	**5.6**	**6.0**	**5.6**		**7.3**	**0.5**	4.4
Deficit in balance of goods and services	11.3	7.3	10.2			9.8	7.6	7.4	6.9	6.0	6.2		9.3	4.2	
Exports	37.9	40.7	36.8			32.5	34.6	34.7	32.6	29.5	26.7		14.7	10.6	
Imports	49.1	48.0	47.0			42.3	42.2	42.1	39.4	35.5	32.9		24.0	14.8	
Net current transfers (negative = inflow)	-5.6	-4.3	-4.2	-4.9	1.5	-4.9	-4.1	-3.3	-3.3	-3.4	-3.5		-3.4	-3.3	-3.4
of which: official	-0.4	-0.3	-0.9			-1.4	-1.2	-0.9	-0.9	-1.0	-1.0		-1.1	-1.3	
Other current account flows (negative = net inflow)	3.2	2.2	1.6			3.3	2.5	2.3	2.0	3.4	2.9		1.5	-0.4	
Net FDI (negative = inflow)	**-2.9**	**-2.3**	**-2.7**	**-5.7**	**8.4**	**-4.0**	**-4.9**	**-4.5**	**-4.4**	**-2.8**	**-2.7**		**-1.2**	**-0.6**	-0.8
Endogenous debt dynamics 2/	**-2.2**	**-2.1**	**-0.6**			**-0.1**	**-1.8**	**-1.0**	**-0.5**	**-0.3**	**-0.3**		**-0.3**	**-0.6**	
Contribution from nominal interest rate	0.1	0.4	0.7			0.6	0.4	0.4	0.4	0.4	0.4		0.5	0.5	
Contribution from real GDP growth	-2.1	0.0	-1.9			-0.7	-2.2	-1.4	-0.9	-0.7	-0.7		-0.8	-1.0	
Contribution from price and exchange rate changes	-0.2	-2.5	0.6			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-1.1**	**1.9**	**-6.5**			**-0.8**	**-2.6**	**-2.1**	**0.4**	**-2.1**	**-1.1**		**-5.5**	**0.4**	
of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	13.5			17.1	14.2	12.7	13.4	14.0	15.0		17.1	16.6	
In percent of exports	...	...	36.6			52.8	41.0	36.7	41.2	47.4	56.3		115.7	157.0	
PV of PPG external debt	**...**	**...**	**13.5**			**17.1**	**14.2**	**12.7**	**13.4**	**14.0**	**15.0**		**17.1**	**16.6**	
In percent of exports	**...**	**...**	**36.6**			**52.8**	**41.0**	**36.7**	**41.2**	**47.4**	**56.3**		**115.7**	**157.0**	
In percent of government revenues	**...**	**...**	**64.5**			**102.5**	**78.1**	**66.0**	**72.8**	**77.8**	**88.2**		**107.4**	**93.3**	
Debt service-to-exports ratio (in percent)	**1.5**	**2.2**	**3.2**			**5.4**	**9.4**	**8.3**	**3.4**	**4.0**	**4.4**		**9.4**	**13.8**	
PPG debt service-to-exports ratio (in percent)	**1.5**	**2.2**	**3.2**			**5.4**	**9.4**	**8.3**	**3.4**	**4.0**	**4.4**		**9.4**	**13.8**	
PPG debt service-to-revenue ratio (in percent)	**3.1**	**3.9**	**5.7**			**10.5**	**17.8**	**14.9**	**6.0**	**6.6**	**6.9**		**8.7**	**8.2**	
Total gross financing need (Billions of U.S. dollars)	0.7	0.5	0.8			0.8	0.7	0.9	0.4	0.9	0.8		2.0	0.7	
Non-interest current account deficit that stabilizes debt ratio	6.2	2.5	9.7			5.0	9.3	7.7	4.5	5.2	4.0		7.0	0.8	
Key macroeconomic assumptions															
Real GDP growth (in percent)	13.5	0.1	8.9	9.0	10.0	3.6	10.8	7.3	4.7	3.6	3.3	5.6	3.3	4.2	3.6
GDP deflator in US dollar terms (change in percent)	1.4	13.9	-2.6	10.2	11.9	0.4	7.2	3.6	0.6	1.4	0.7	2.3	2.4	2.7	2.5
Effective interest rate (percent) 5/	1.0	2.2	3.3	1.4	0.8	2.9	2.2	2.0	2.0	2.0	2.1	2.2	1.9	1.9	1.9
Growth of exports of G&S (US dollar terms, in percent)	23.3	22.3	-4.1	49.6	84.7	-8.2	26.7	11.3	-1.0	-5.0	-5.9	3.0	0.3	4.6	0.0
Growth of imports of G&S (US dollar terms, in percent)	18.1	11.3	3.8	13.0	23.8	-6.4	18.6	10.7	-1.2	-5.5	-3.5	2.1	-0.3	3.8	0.7
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	4.0	32.9	34.3	34.3	34.4	34.5	29.1	34.8	35.3	35.0
Government revenues (excluding grants, in percent of GDP)	18.9	23.2	20.9			16.7	18.1	19.3	18.5	18.0	17.0		15.9	17.8	16.6
Aid flows (in Billions of US dollars) 7/	0.3	0.3	0.5			0.4	0.6	0.6	0.6	0.6	0.7		1.0	1.9	
of which: Grants	0.1	0.2	0.3			0.3	0.4	0.3	0.3	0.4	0.4		0.6	1.2	
of which: Concessional loans	0.1	0.1	0.1			0.1	0.2	0.3	0.3	0.3	0.3		0.4	0.7	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			2.5	3.2	2.9	2.8	2.8	3.1		3.1	3.3	3.2
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			31.8	62.5	56.8	60.2	61.9	59.9		64.6	67.7	65.3
Memorandum items:															
Nominal GDP (Billions of US dollars)	10.7	12.2	12.9			13.4	15.9	17.7	18.7	19.6	20.4		26.9	50.0	
Nominal dollar GDP growth	15.1	14.0	6.0			4.0	18.8	11.2	5.3	5.1	4.0	8.1	5.8	7.0	6.2
PV of PPG external debt (in Billions of US dollars)			1.8			2.4	2.3	2.3	2.5	2.8	3.1		4.6	8.3	
(PVt-PVt-1)/GDPt-1 (in percent)						4.6	-0.7	0.0	1.4	1.2	1.6	1.4	1.2	1.0	1.1
Gross workers' remittances (Billions of US dollars)	...	...	...			...	...	...	...	...	...		...	...	
PV of PPG external debt (in percent of GDP + remittances)	...	...	13.5			17.1	14.2	12.7	13.4	14.0	15.0		17.1	16.6	
PV of PPG external debt (in percent of exports + remittances)	...	...	36.6			52.8	41.0	36.7	41.2	47.4	56.3		115.7	157.0	
Debt service of PPG external debt (in percent of exports + remittance	...	...	3.2			5.4	9.4	8.3	3.4	4.0	4.4		9.4	13.8	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.
2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Assumes that PV of private sector debt is equivalent to its face value.
5/ Current-year interest payments divided by previous period debt stock.
6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.
7/ Defined as grants, concessional loans, and debt relief.
8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Baseline Scenario

Table 3b.Chad: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2013-2033

(In percent)

	Projections							
	2013	2014	2015	2016	2017	2018	**2023**	2033
PV of debt-to-GDP+remittances ratio								
Baseline	17	14	13	13	14	15	**17**	17
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2013-2033 1/	17	14	11	11	9	8	**-4**	0
A2. New public sector loans on less favorable terms in 2013-2033 2	17	16	15	16	18	20	**25**	30
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2014-2015	17	16	16	16	17	18	**21**	20
B2. Export value growth at historical average minus one standard deviation in 2014-2015 3/	17	27	43	43	43	44	**42**	26
B3. US dollar GDP deflator at historical average minus one standard deviation in 2014-2015	17	16	15	16	16	17	**20**	19
B4. Net non-debt creating flows at historical average minus one standard deviation in 2014-2015 4/	17	20	24	24	25	26	**26**	20
B5. Combination of B1-B4 using one-half standard deviation shocks	17	23	29	30	30	31	**32**	23
B6. One-time 30 percent nominal depreciation relative to the baseline in 2014 5/	17	20	18	19	20	21	**24**	23
PV of debt-to-exports+remittances ratio								
Baseline	53	41	37	41	47	56	**116**	157
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2013-2033 1/	53	41	33	33	30	29	**-27**	-2
A2. New public sector loans on less favorable terms in 2013-2033 2	53	45	43	51	60	73	**171**	283
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2014-2015	53	41	37	42	48	57	**117**	158
B2. Export value growth at historical average minus one standard deviation in 2014-2015 3/	53	151	411	441	491	556	**957**	809
B3. US dollar GDP deflator at historical average minus one standard deviation in 2014-2015	53	41	37	42	48	57	**117**	158
B4. Net non-debt creating flows at historical average minus one standard deviation in 2014-2015 4/	53	59	69	75	84	97	**179**	189
B5. Combination of B1-B4 using one-half standard deviation shocks	53	72	92	100	112	129	**234**	239
B6. One-time 30 percent nominal depreciation relative to the baseline in 2014 5/	53	41	37	42	48	57	**117**	158
PV of debt-to-revenue ratio								
Baseline	103	78	66	73	78	88	**107**	93
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2013-2033 1/	103	78	59	59	49	45	**-25**	-1
A2. New public sector loans on less favorable terms in 2013-2033 2	103	86	78	89	98	115	**159**	168
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2014-2015	103	88	81	89	95	108	**131**	114
B2. Export value growth at historical average minus one standard deviation in 2014-2015 3/	103	148	221	233	241	260	**266**	144
B3. US dollar GDP deflator at historical average minus one standard deviation in 2014-2015	103	86	77	84	90	102	**124**	108
B4. Net non-debt creating flows at historical average minus one standard deviation in 2014-2015 4/	103	113	123	132	138	152	**166**	112
B5. Combination of B1-B4 using one-half standard deviation shocks	103	127	151	162	169	185	**199**	130
B6. One-time 30 percent nominal depreciation relative to the baseline in 2014 5/	103	109	92	102	109	123	**150**	130

Baseline Scenario

Table 3b.Chad: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2013-2033 (continued)

(In percent)

	Projections							
	2013	2014	2015	2016	2017	2018	**2023**	2033
Debt service-to-exports+remittances ratio								
Baseline	5	9	8	3	4	4	**9**	14
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2013-2033 1/	5	9	8	3	3	3	**2**	-2
A2. New public sector loans on less favorable terms in 2013-2033 2	5	9	6	6	6	7	**10**	20
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2014-2015	5	9	8	3	4	4	**9**	14
B2. Export value growth at historical average minus one standard deviation in 2014-2015 3/	5	18	32	21	24	26	**84**	89
B3. US dollar GDP deflator at historical average minus one standard deviation in 2014-2015	5	9	8	3	4	4	**9**	14
B4. Net non-debt creating flows at historical average minus one standard deviation in 2014-2015 4/	5	9	9	5	5	6	**15**	19
B5. Combination of B1-B4 using one-half standard deviation shocks	5	11	11	6	7	7	**20**	24
B6. One-time 30 percent nominal depreciation relative to the baseline in 2014 5/	5	9	8	3	4	4	**9**	14
Debt service-to-revenue ratio								
Baseline	10	18	15	6	7	7	**9**	8
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2013-2033 1/	10	18	14	5	5	4	**1**	-1
A2. New public sector loans on less favorable terms in 2013-2033 2	10	18	10	10	11	11	**9**	12
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2014-2015	10	20	18	7	8	8	**11**	10
B2. Export value growth at historical average minus one standard deviation in 2014-2015 3/	10	18	17	11	12	12	**23**	16
B3. US dollar GDP deflator at historical average minus one standard deviation in 2014-2015	10	19	17	7	8	8	**10**	9
B4. Net non-debt creating flows at historical average minus one standard deviation in 2014-2015 4/	10	18	16	8	9	9	**14**	11
B5. Combination of B1-B4 using one-half standard deviation shocks	10	20	18	9	10	10	**17**	13
B6. One-time 30 percent nominal depreciation relative to the baseline in 2014 5/	10	25	21	8	9	10	**12**	11
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	26	26	26	26	26	26	**26**	26

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline., while grace and maturity periods are the same as in the baseline.
3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicitly assuming an offsetting adjustment in import levels).
4/ Includes official and private transfers and FDI.
5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.
6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.